

Sara and Jeff:

Attached is the term sheet for the slightly different Mahonia structure.

Question for Sara: With this structure, do we have any CFTC issues if we're buying gas from Chase?

We may have tax or accounting issues if we buy from Chase, so we may buy from Stoneville (also a Jersey Is. co.) instead. Jeff: Do you know that entity? Joe said we did several of the old deals purchasing from them under a GISB PSA. We should know in the next day or so. I'll let you know. Will you be working on this?

Teresa

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Joseph Deffner
12/07/2000 01:28 PM

To: Teresa G Bushman/HOU/ECT@ECT
cc:
Subject: Enron/Mahonia

Can you take a look at the term sheet below. This was the concept of "participation" in a gas contract as envisioned by Milbank. We may be moving away from this concept towards what I suggested last night and perhaps a bit further than that as well but wanted to get a legal view on this participation concept.

----- Forwarded by Joseph Deffner/HOU/ECT on 12/07/2000
01:27 PM -----

<Jeffrey.W.Dellapina@chase.com> on 12/05/2000 05:07:46 PM
To: joseph.deffner@enron.com
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----- Forwarded by Jeffrey W. Dellapina/CHASE on
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<MWilson@milbank.com> on 12/05/2000 05:06:17 PM

To: philip.levy@chase.com, stuart.d.fishman@chase.com,
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cc: RWight@milbank.com, TDavis@milbank.com, MWilson@milbank.com
Subject: Enron/Mahonia

Attached please find a preliminary draft term sheet for the Mahonia transaction based on the original Chase term sheet and our subsequent structuring conversations, along with a revised transaction diagram in powerpoint.

Kind regards,

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<<Term Sheet Enron-Mahonia.doc>> <<Annex 1 -Transaction Diagram.ppt>>

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(See attached file: Term Sheet Enron-Mahonia.doc)

(See attached file: Annex 1 -Transaction Diagram.ppt)

- Term Sheet Enron-Mahonia.doc
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